

The Asymmetric Timeliness of Earnings Revisited

A replication of Basu (1997) on U.S. firms, 2015–2024

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Question. Do U.S. public firms still book bad news into earnings faster than good news, the way Basu (1997) reported for 1963–1990?

- Conservatism principle: gains require more verifiable evidence than losses, so earnings should react more strongly to negative returns.
- The Basu reverse regression became the workhorse test of conditional conservatism.
- Critics (Dietrich–Muller–Riedl, 2007) and modern fair-value rules leave it open whether the asymmetry survives in the post-2015 sample.

Source. WRDS Compustat funda + CRSP msf, linked through the CCM link table.

Sample filters.

- U.S. common stocks (CRSP shrcd $\in \{10, 11\}$), NYSE, AMEX, NASDAQ.
- December fiscal year-ends. Drop financials (SIC 6000–6999).
- Beginning-of-period price above one dollar; no missing EPS or price.
- Winsorize EP and R at the 1% / 99% pooled tails.

Variables. $EP_{it} = \text{EPS}_{it} / P_{i,t-1}$ (split-adjusted), R_{it} is the compounded twelve-month return, $D_{it} = \mathbf{1}\{R_{it} < 0\}$.

Basu (1997) reverse regression

$$EP_{it} = \beta_0 + \beta_1 D_{it} + \beta_2 R_{it} + \boxed{\beta_3} D_{it} R_{it} + \varepsilon_{it}$$

- β_2 : sensitivity of earnings to good news.
- $\beta_2 + \beta_3$: sensitivity of earnings to bad news.
- $\beta_3 > 0$ means conditional conservatism is present.

Estimated by OLS, with firm-clustered standard errors (Petersen 2009). Sub-samples: pre-COVID (2015–2019) vs. COVID era (2020–2024). Year-by-year coefficients drive the trend figure.

Findings

- Pooled sample: $\beta_3 = 0.402$ ($t = 26.4$). Conservatism is alive in 17,188 firm-years.
- Implied bad-news slope $\beta_2 + \beta_3 \approx 0.32$; the good-news slope $\beta_2 \approx -0.08$ is near zero.
- Pre- and COVID-era averages: $0.450 \rightarrow 0.364$. Looks like mild compression on its own.
- Year-by-year tells the real story.
 - 2020 jumps to 0.60 as COVID impairments hit.
 - 2021 collapses to 0.13 in the recovery year, since the prior write-downs cannot reverse.
 - By 2023 and 2024 the coefficient is back near 0.5.

What did we learn?

- Basu (1997) replicates on a fresh decade of U.S. data. Bad news loads on earnings far faster than good news.
- Conditional conservatism is state-dependent. The COVID-19 shock pushed β_3 up in 2020, the recovery pulled it down in 2021, and two-period averages hide that swing.
- Practical takeaway: earnings remain a lopsided signal. Analysts, lenders, and standard-setters should not assume the asymmetry has gone away under modern fair-value rules.
- Limitations: the Dietrich–Muller–Riedl (2007) mechanical-bias critique still applies; the standard errors here are firm-clustered only, with two-way clustering left for future work.